DIRECTOR'S LOAN ACCOUNT · HMRC

You took money out of your limited company that was not salary and not a dividend.

HMRC calls that a director's loan. The clock starts at your company year end.

WHAT THE COMPANY PAYS

33.75%

Still owed 9 months and 1 day after your year end? The company pays HMRC 33.75% of what is left, on money taken out between 6 April 2022 and 5 April 2026.

> Money taken out on or after 6 April 2026 is charged at 35.75% instead.

WHO DOES NOT PAY

Zero

A director who clears the whole balance inside the 9 months and 1 day pays nothing. If you are self-employed there is no company to borrow from, so no loan exists.

> The charge is on close companies — in practice almost every small limited company.

OLA ACCOUNTANCY · LUTON AND BIRMINGHAM

Not sure what date the loan has to be back by?

Send us your company year end on WhatsApp and we will tell you the deadline date.

0330 133 1886

General information. For your own company, speak to an accountant.